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The View

G10 FX. Client conversations: USD caught in a macro vs. tech tug of war, EUR shorts less crowded than feared, JPY bulls await a trigger

EM FX. Dollar debasement lit the EM FX rally; improving growth expectations could keep it burning.

G10 Themes

USD: Hot inflation means Fed tightening remains on track.

AUD. Can Australia's A$180bn data centre support AUD?

GBP: UK Budget looming but unlikely to be existential for GBP.

EM Themes

KRW. Corporate Hedging – Shifting, not yet tilting

India. Kicking the can; shifting risk premium to rates

SGD. MAS Review: A surprise dovish plot

Singapore. Add SORA receiver on slight dovish tilt in policy

LatAm FX. Higher US rates: AI is buying LatAm time

Quant & Vol Insights

USD momentum is fading; our quant signals point to consolidation. USD selling in US hours suggests domestic investors are fading the rally. EURAUD downside screens attractive across carry, trend, CARS and fundamentals.

Technical Strategy

EURUSD: Multiple time frame charts remain bearish w/bias to fade oversold rallies into October 28 FOMC / October 29 ECB for lower lows into YE26.

16 October 2026

FX Research
Global

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Key views, forecasts and latest trades

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Exhibit 1: Our medium-term views
G10 and EM FX medium-term views

G10	We continue to expect EUR-USD at 1.15 by year-end and 1.20 by end-2027. US macro data remain reasonably solid, with unemployment around 4% and growth running at roughly 2%. However, risks continue to accumulate for already nervous markets, including the ongoing Iran war and associated supply shock, rising concerns about the existential risks posed by AI, the apparent intractability of fiscal challenges, renewed trade tensions and, of course, the upcoming US midterms. On the EA side, activity data have surprised to the upside and the ECB has sought to preserve its inflation-fighting credentials. Nevertheless, high energy prices and developments in France remain key downside risks in the near term. We remain bullish on JPY, forecasting USDJPY at 149 by year-end, supported by improving JP fundamentals and our expectation of faster BoJ hikes. Elsewhere, we maintain a constructive medium-term view on GBP but prefer to await greater clarity on UK policies. We remain constructive on AUD and NZD, with a preference for AUD in the near term. We also retain a bullish bias on SEK, while leaning bearish on NOK, CAD and CHF.
EM	EM FX performance remains variable, but NE Asia FX is making a comeback with KRW leading on strong export gains due to the AI investment boom, with long TWD also becoming popular. Our preference remains for carry/relative value trades as US real rates push higher, while questions over US policy credibility act as a brake on USD gains. ZAR remains the best hedge given its high beta to the Iran situation. In Latam, BRL, despite its strong performance, remains cheap vs the major improvement in its terms of trade, and the same is true for NGN EMEA FX. Among CEE FX, HUF has substantially outperformed its terms of trade due to the elections but has more room in our view.

Source: BofA Global Research

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Our key forecasts

Exhibit 2: Key BofA G10 and EM FX forecasts
Forecasts as of 15-Oct-2026

(EOP)	YE 2023	YE 2024	YE 2025	1Q 26	2Q 26	3Q 26	YE 2026	YE 2027	YE 2028
EUR/USD	1.10	1.04	1.17	1.16	1.14	1.13	1.15	1.20	1.22
USD/JPY	141	157	157	159	163	157	149	145	145
GBP/USD	1.27	1.25	1.35	1.32	1.33	1.33	1.37	1.45	1.47
AUD/USD	7.00	0.63	0.67	0.69	0.69	0.69	0.74	0.72	0.72
USD/CNY	7.10	7.30	6.99	6.79	6.79	6.71	6.60	6.50	6.50
USD/BRL	4.92	6.21	5.50	5.16	5.16	5.17	5.00	5.00	5.00
USD/INR	83	86	90	95	95	96	98	99	99
USD/ZAR	18.36	18.84	16.54	16.94	16.39	16.42	16.40	15.60	15.30

Source: BofA Global Research. Forecasts as of 15 Oct 2026

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What we particularly like right now

Exhibit 3: Our latest G10 and EM FX trade recommendations
What we particularly like right now

G10	
Buy EUR/CHF	Barring a return to the pre-2025 regime, EUR/CHF skew screens stretched. We prefer fading for four reasons: 1) Positioning is cleaner, 2) Another multi sigma event in OAT-Bund low risk for now, 3) SNB threat, 4) CHF is G10 top funder
Sell USD/JPY	Improving yen fundamentals and faster BoJ rate hikes should weaken the case for yen selling
Sell CHF/JPY	Asymmetric risk/reward around BoJ's June meeting. SNB's vigilance on CHF appreciation. Improving structural flow dynamics for JP
Buy 6m GBPUSD strangle (1.3495/1.2818) vs selling 2m ATMF GBPUSD straddle	Vol likely to compress over the summer but then rise again around 12 weeks ahead of US midterms. GBP vol tend to outperform in US midterm periods
EM	
Enter 2M short CNH/long TWD	We fund long TWD AI export led appreciation with cheaper CNH disinflationary funding
Long PEN vs short USD	We initiate a short USD/PEN at 3.37 based on bullish gold and copper outlook and Peru's real GDP growth
Long INR & MYR vs short THB	Enter long INR carry with long MYR to hedge commodity risk and use THB for cheaper funding

Source: BofA Global Research estimates

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Week ahead

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In focus next week

US PMIs (Fri), **Fed blackout. EA PMIs** (Fri). **CPI** for **CA** (Mon), **UK & NZ** (Wed), **JP** (Fri)

Other events by region:

- AMRS – **US** housing market data (Tue), Michigan (F, Fri). **CA** retail sales (Fri)
- Europe – **EA** ZEW survey (Tue), consumer confidence (Thu), ECB inflation expectations (Fri), and many ECB speakers incl. Lagarde and Lane. **UK** labour market data (Tue), retail sales (Fri). In **Switzerland,** SNB minutes (Thu)
- APAC – nothing of note

Source: Bloomberg. Last updated: 15-Oct-2026. The days are indicated according to London time.

G10 central bank calls

Exhibit 4: BofA G10 Central Bank calls
No G10 central bank meetings next week

Country	Current	Next	Our call	BofA YE 26 (bp)	Priced YE 26 (bp)	Narrative
US	3.88%	28-Oct	4.13%	+50	+29	We maintain our call for a hike at both the Oct and Dec meeting, though we acknowledge the risk is that we may only get one more hike this year
Eurozone	2.50%	29-Oct	2.50%	+25	+24	We changed our ECB call and embedded a Dec hike in the base case. We still think the ECB is unlikely to go further. An Oct-hike is not impossible but would require central bank panic and big surprises – not our base case. Relatively speaking, the risk of a fourth hike is greater in Mar-27, but that would not be easy either. We stick to our call that quarterly cuts will follow in 2H27 (Sep, Dec).
Japan	1.25%	30-Oct	1.25%	+25	+21	We continue to expect quarterly hikes, with the next ones in December 2026, Mar-27, and Jul-27, taking the policy rate to 2%
UK	3.75%	5-Nov	4.00%	+25	+36	We changed our BoE call- we now expect the BoE to hike twice in Nov '26 and Feb '27 to 4.25% to guard against risks of second round effects, assuming high energy prices persist into early next year and barring big downside surprises in data. We then expect three quarterly cuts starting in Q1 '28 to terminal of 3.5% (vs. our previous call of no hikes and a cut in Nov. 27 to 3.5%)
Canada	2.25%	28-Oct	2.25%	0	+23	Uncertainty around trade and the new domestic framework keep growth subdued, at 1.0% this year and 1.6% next, leaving the output gap negative at least through 1H 2027. That, with core inflation at target, underpins our out-of-consensus call that the BoC holds at 2.25% for the rest of the year and does not follow Fed hikes despite headline inflation above target
Australia	4.60%	3-Nov	4.60%	0	+10	Softer-than-expected labour data supports our base case that the RBA will remain on hold in 2026. That said, the RBA's focus is inflation, and a 3Q trimmed mean >0.9% q/q could still prompt a hike.
New Zealand	2.75%	28-Oct	2.75%	+25	+34	We expect the RBNZ to hold in Oct to allow time to assess inflation spillovers and election policies, before a 25bp hike in Dec. Our OCR forecast remains below consensus and market pricing, and if the RBNZ does hike in Oct & Dec, this would raise the likelihood of rate cuts in 2027
Switzerland	0.00%	10-Dec	0.00%	0	+5	With the updated inflation projections pointing to an outlook that remains firmly within the 0-2% price stability range, we retain high conviction that the policy rate will stay at 0% for quite some time
Sweden	1.75%	4-Nov	2.00%	+25	+33	We continue to expect a 25bp hike in 4Q, but we brought forward the timing to Nov from Dec. In addition, we now expect a second hike in 1Q27 and see risks skewed toward a third one in 2Q27
Norway	4.50%	5-Nov	4.50%	0	+14	We believe rates have probably peaked and do not expect further tightening from Norges Bank. However, persistently high energy prices and the prospect of a more hawkish global central bank backdrop in the short term could still create conditions for one additional hike by 1Q27

Source: BofA Global Research. Forecasts and OIS market pricing as of 15-Oct-2026.

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The view

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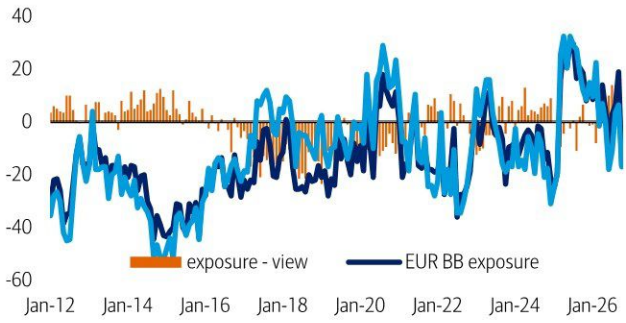
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G10 FX: unpacking the price action

USD: macro vs. tech tug of war

Client conversations this week focused on the puzzling reversal lower in USD & US rates following a spicy inflation print. The negative spillover to equities was the consensus ex post rationalisation. Specifically, the underperformance of technology stocks relative to the index was consistent with USD weakness (see report, Breadth test 09 October 2026), adding to the weight of lower rates. This highlights USD's tug of war between resilient US data & sticky inflation vs. risks to US technology exceptionalism. Similarly, the technical outlook remains USD supportive but our quant signals point to consolidation. Given this, investors' low conviction on USD's near-term direction was unsurprising.

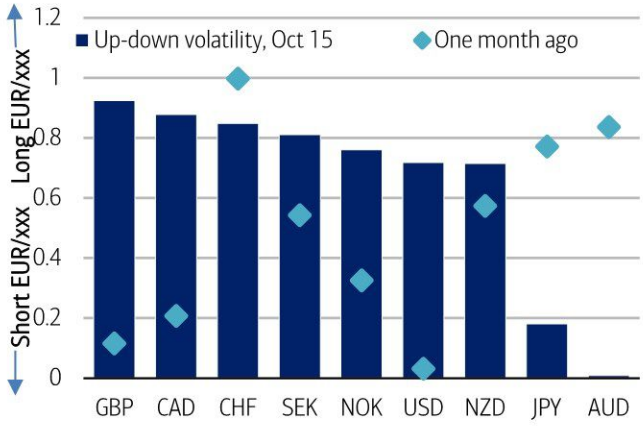
Exhibit 5: EUR FX sentiment and positioning sharply worsened in our latest survey
FX exposure and view 2012-26ytd: EUR



Source: BofA Global Research FX and Rates Sentiment Survey. BB is the Bull-Bear Index for exposure and view. It weighs responses to create an index ranging from -100 to + 100, zero representing neutral.

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Exhibit 6: Up-down volatility for EUR crosses
Only pockets of crowded EUR shorts (vs. JPY & AUD)



Source: Bloomberg . Up/down vol compares EUR vs. G10 FX volatility on up vs down days.

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EUR: are shorts crowded?

The notable outperformance of EUR post-CPI reinforced the perception that EUR shorts are exceptionally crowded. While we agree the hedge fund/CTA community is heavily short EUR (see report, Systematic Flows Monitor 09 October 2026), broader data is less conclusive. Our asset manager survey shows the biggest reduction in EUR FX exposure on record, but shorts are still within the '22/'24 levels, let alone the depths of the 2010s peripheral crisis (Exhibit 5). Up/down volatility measures imply pockets of crowded EUR shorts (vs. JPY & AUD) but not more broadly (Exhibit 6). Ultimately, the direction of OAT-Bund spreads remains paramount for EUR – a 100-150bp range (our base case) implies a floor for EUR, especially if no Moody's downgrade next week. That said, our France fieldtrip this week did little to assuage investor concerns.

JPY: foreign buyers' strike

Finally, we discussed our bullish yen view with clients. Participation in the yen trade seems limited especially following the frustrating reversal in USD/JPY since September. Investors are unwilling to bleed carry on yen longs unless a near term trigger becomes more apparent. Public pension fund rebalancing is viewed as the most plausible driver, with discussions focusing on potential timing and signals - we argued an unexplained sell-off in EUR/JPY (due to the size of European bond holdings vs. FX volumes), along with weekly flow data, would be key indicators. There remains scepticism around FX

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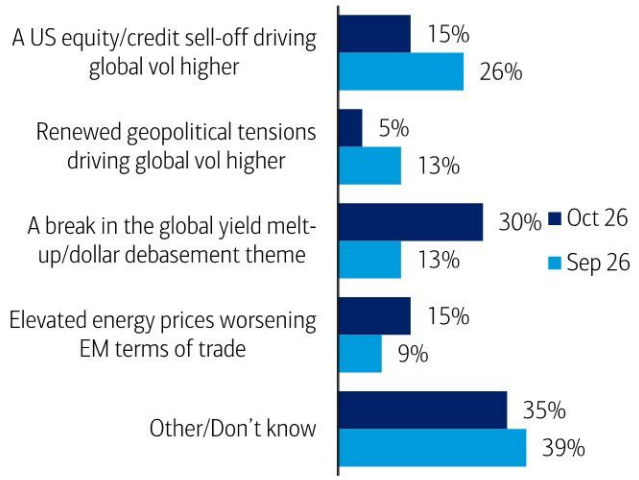
policy coordination, especially the government's appetite for higher rates. The December BoJ meeting will be closely watched to see if dissents against rate hikes continue.

EM FX: Buoyant expectations stave off the US exceptionalism anchor

EMFX has screened rich on our fundamentals-driven BEER model through much of 2026 Two themes could help explain this premium: the dollar debasement trade and improving growth expectations. While the former has dominated the recent market narrative, the latter appears to be regaining importance.

Over the past month, markets have focused squarely on the implications of dollar debasement for EM. In our latest FXRS survey, investors identified the theme's unwinding as the most consequential bearish catalyst for EM in 2026 (see Exhibit 8). Our time-varying betas framework (see report: Emerging Insight: EMFX: Oil Betas Have Yet To Kick In 04 March 2026) helps put this focus into perspective. Comparing the median EM currency's beta to gold with its beta to industrial metals, our proxies for dollar debasement and global growth, respectively, suggest that the debasement theme has been more salient in 2026 than in 2025 (see Exhibit 9). It has worked in both directions: supporting EMFX after the Treasury buyback announcement, but weighing on it after the June press conference, September's Fed hike and subsequent hawkish commentary.

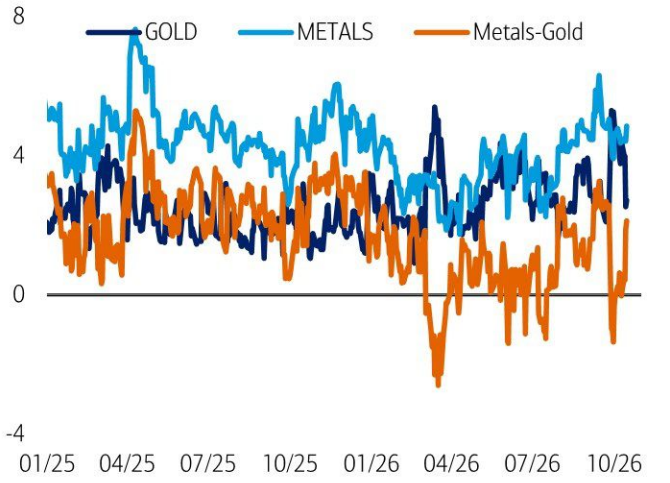
Exhibit 7: Which of the following risks for EM FX would be the most consequential over 2026?
The end of the dollar debasement trade is seen as the most consequential bearish EMFX catalyst in 2026



Source: BofA Global Research FX and Rates Sentiment Survey

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Exhibit 8: Since July, EMFX has had a stronger beta to industrial metals than gold
Kalman-filtered estimates of absolute EMFX betas to gold and industrial metals returns, median EM currency, since 2025



Source: BofA Global Research, Bloomberg

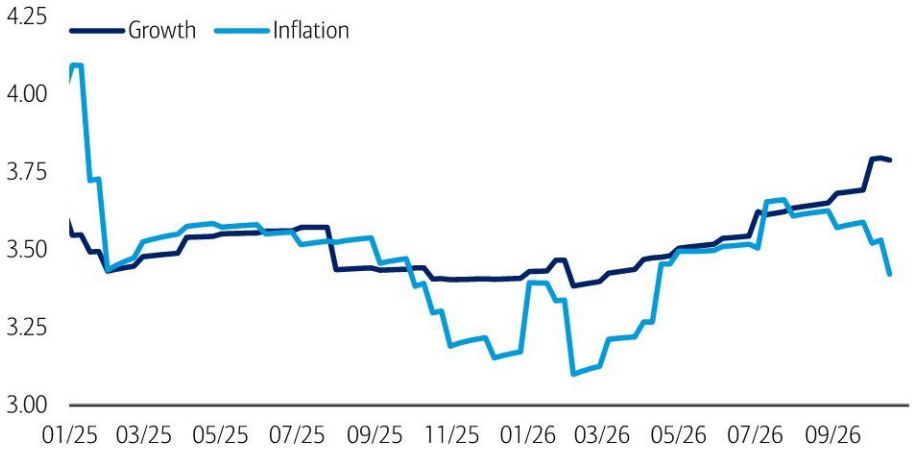
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Yet beneath this dollar-focused narrative, growth appears to be re-emerging as a driver of EMFX. More recently, the relative strength of the industrial-metals beta has moved closer to mid-2025 levels. This shift has coincided with a more favorable repricing of EM's ensemble 12-month forward growth and inflation expectations. Growth expectations edged up from 3.4% to 3.5% over the first two quarters, before rising by nearly 30bp since the start of July (see Exhibit 10). Over the latter period, inflation expectations have fallen by nearly 20bp, with both developments now suggesting EMFX is now fairly valued once adjusted for macro-expectations (see report, Global FX weekly: Déjà EUR 02 October 2026)

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Exhibit 9: EM growth expectations have risen by over 30 bps since July, while inflation expectations have fallen by 20 bps

Ensemble 12m forward EM growth and inflation forecasts, since 2025



Source: BofA Global Research, Bloomberg, IMF, Focus Economics

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Fed policy and other institutional developments will continue to shape the dollar debasement narrative. But the improving growth outlook suggests that EMFX is not solely dependent on that theme. The coming months are therefore likely to see a push and pull between dollar debasement and improving growth expectations, as the two compete for the EMFX driver's seat.

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G10 Themes
USD: CPI strengthens case for Oct hike

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Link to the full report: US Watch: September CPI inflation: Broad based CPI strengthens the case for an October hike 14 October 2026

An upside surprise for a second straight month

Both headline and core CPI surprised to the upside relative to our forecasts. Headline CPI rose 0.65% m/m and 3.7% y/y, owing in large part to a 5.2% m/m jump in energy prices. Core CPI was the more significant surprise, rising 0.35% m/m versus our forecast of 0.23%. On a y/y basis, core CPI increased two-tenths to 2.6%. The details of the report also prompted us to raise our core PCE tracking estimate to 0.32% m/m from 0.22% m/m, leading us to reaffirm our call for a rate hike in October.(See: September PCE inflation tracking)

Details show more broad-based pressures than August

We were dismissive of the firmer-than-expected August print given the outsized contributions from wireless services, airfares, & lodging away from home. This month, however, inflation pressures were broader, making us more willing to take signal from the report. Indeed, both core goods & core services accelerated relative to recent trends, and the increases cannot be traced to one or two idiosyncratic sources. That said, we would fade the 4.2% jump in toy prices, which contributed 2bp to core CPI this month.

Fed: patience cuts both ways

We have been baffled by the heavy-handedness of Fed forward guidance, particularly from Williams and Jefferson, in recent weeks. They called for patience in hiking rates. But we thought the Fed should have also been patient in its forward guidance, i.e., wait to see the data before taking a stand. Today's CPI beat shows why. Markets are back to pricing around a 50% chance of an October hike. As we await PPI and Warsh's comments tomorrow, we're sticking with our call that the Fed will hike in October.

FX: Stronger dollar

The USD rose broadly, with the DXY up roughly 0.6% and reaching fresh 18-month highs. The 0.35% m/m increase in core CPI exceeded the expectations of most economists and injected fresh uncertainty into the October FOMC meeting. Markets have also added roughly 15bp to terminal Fed pricing. As a result, even if the Fed skips October, this inflation backdrop could simply reinforce a "higher for longer" policy stance.

Over recent weeks, expectations for an additional Fed hike had faded amid more dovish comments from Williams and Jefferson. The dollar remained supported during that period, largely because of concerns surrounding the French debt situation. Today's data put U.S. factors back in the driver's seat, creating further upside USD risk from the domestic outlook while concerns persist about the durability of policy tightening elsewhere in the G10. (FX Viewpoint: USD: Changing tides as midterms approach 30 September 2026)

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Can AUD ride the next investment boom?

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Link to the full report: FX and Rates Viewpoint - Australia & New Zealand: Can AUD ride the next investment boom? 12 October 2026

- We expect Australia's A$180bn data centre pipeline to support AUD through a higher-for-longer cash rate and commodity prices
- Our AUD model estimates fair value at 0.7140 vs spot rate of 0.6960, with scope for AUD to appreciate towards 0.73 over 2027.
- Upside against the USD is modest, but we see better opportunities on the crosses. We see upside risks to AUD/NZD and AUD/ZAR.

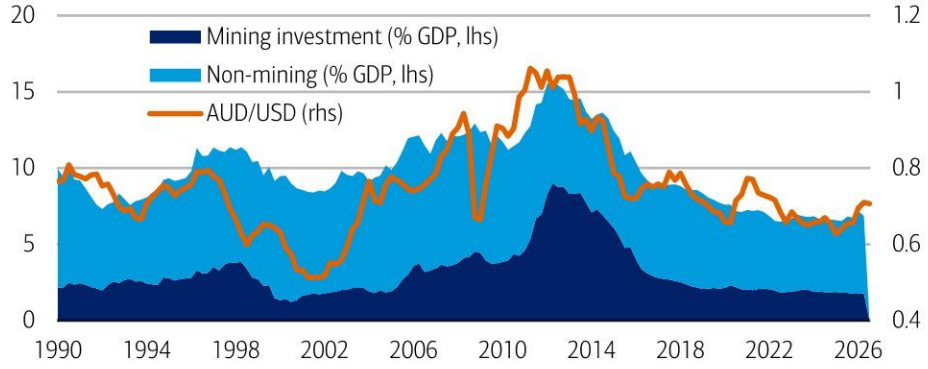
Data centre investment to support AUD

Australia's A$180bn data centre investment pipeline, including around A$100bn over the next three years, is set to drive the largest investment cycle since the mining boom. We expect this to support AUD through a higher-for-longer RBA cash rate and higher commodity prices, particularly copper. But we don't expect a repeat of the mining boom which took AUD to 1.10. See Exhibit 11.

Upside against USD modest but opportunities on crosses

Our AUD model estimates fair value is currently at 0.7140 vs spot at 0.6960. With BofA's metals team forecasting further gains in copper prices, we see scope for AUD to appreciate towards 0.73 over 2027. That said, upside against USD looks capped with the US undergoing an even larger investment cycle and risks skewed towards further Fed tightening. Instead, we see more opportunities on the crosses. We see upside risks to AUD/NZD ahead of the NZ election and continue recommend long AUD/ZAR (entry: 11.57, target 12.15 and stop 11.22). Risk: dovish RBA.

Exhibit 10: We expect a large increase in data center investment to modestly support AUD/USD
Mining and non-mining investment (%GDP, lhs) vs AUD/USD (rhs)



Source: ABS; Haver

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GBP: Budget looming

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Link to the full report: FX Watch: GBP: Budget looming 06 October 2026

Countdown to the Budget

With France the epicentre of market focus, it may be easy to forget that we are a little over 3 weeks away from the first John Healey Budget. The sense of anticipation (and perhaps apprehension) that has greeted recent Budgets is so far lacking and GBP seems agnostic to upcoming developments at least in the spot FX space. GBP/USD 1mth volatility is trading higher but this reflects the broader step adjustment in G10 FX vol vs USD as France dominates. Our options desk, however, notes that whilst front end vol remains well behaved, daily vol for GBP/USD is 13vol versus an average of 7.5vols. Whilst Budget Day appears well owned, GBP risk premium is close to the lows of the year. All in all, our economists think that the Government will deliver a cautious Budget and adhere to the Fiscal Rules. Tougher decisions await but this is for 2027 and not the here and now.

What do we know about GBP?

We have placed great store in GBP as the consummate rates-driven currency but there is a nuance here. Exhibit 1 shows the correlation between GBP TWI and 10yr UK yields over various time windows. The negative correlation through the 5-day window does not suggest the kind of "UK capital flight" dynamics that have sporadically impacted GBP. GBP sensitivity has been driven by the front-end of the curve, where we use weighted 2yr G10 yields to subtract from the UK 2yr. GBP therefore is receiving support from BoE pricing, which looks excessive relative to our own projections (market has 4+ hikes versus 2 rates from BofA see: UK Watch: UK forecast update: Hawkish drift 23 September 2026).

Will this be a "normal" Budget?

We sense that the backdrop to this Budget is different to recent ones. But the reality remains that the shadow of September 2022 looms large, irrespective of whether this is justified or not and is perhaps reflective of the elevated levels of GBP/USD vol premium for the 28th of October.

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EM Themes
KRW Corporate Hedging – Shifting, not yet tilting

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The following piece is an abridged version of Asia FI & FX Strategy Viewpoint: KRW Corporate Hedging – Shifting, not yet tilting 14 October 2026

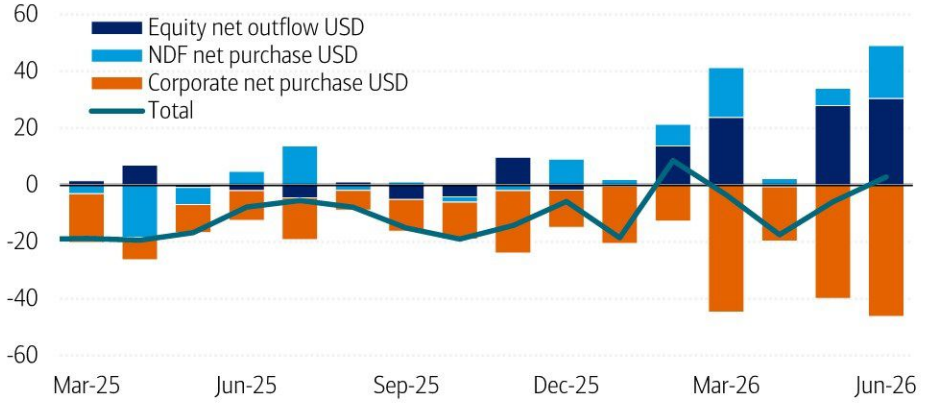
Korean corporates shift to USD selling

Korean corporates made a notable shift to selling USD in 2026, with exporters taking advantage of attractive levels of USD strength, especially in 2Q. Despite this, the impact on USD/KRW is less evident as volatile equity portfolio outflows and associated FX hedging flows dominated the price action – see Asia FI & FX Strategy Viewpoint: KRW – how and when to go with the flow.

Nevertheless, this note examines the potential tipping points that could tilt corporate FX hedging flows to be a more dominant factor for KRW appreciation in 4Q. We highlight three key points:

- Korean corporates sold a total of USD187bn in spot and forward markets in 1H26, as USD/KRW peaked at 1559.55 in 2Q.
- Corporate USD selling flows have been mostly neutralized by equity outflows and NDF buying (Exhibit 12). Preliminary 3Q data shows net forward USD buying returning.
- However, Korean corporates' USD deposits are at a historically high share (20.4%) relative to the holdings of local KRW deposits. This overweight USD position is motivated by high FX volatility, and as volatility fades corporates may wait for better levels to rebalance to KRW conversion. The return of shipbuilder hedging and 4Q seasonality of rising exports could intensify USD selling.

Exhibit 11: Corporate USD selling flows have been mostly neutralized by equity outflows and NDF buying in 1H26 (USD bn)
Seasonality and improved hedging costs could see corporate hedging more dominant in 4Q



Source: BofA Global Research, Bloomberg

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India Strategy – Kicking the can; shifting risk premium to rates

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The following piece is an abridged version of Asia FI & FX Strategy Watch: India Strategy – Kicking the can; shifting risk premium to rates 12 October 2026

RBI's short-term support for INR...

RBI measures over the weekend were aimed at reducing USD demand in the near-term, by shifting a) state-owned oil importers' demand away from the market (roughly 50-60% of monthly gross crude imports of USD 18Bn average over last three months), b) raising cost of hedging for importers by imposing unremunerated reserve requirement (adding 1.3-1.5% (20% of INR funding cost)) and c) signaling further tightening in liquidity conditions.

While the timing of these measures may be a surprise, these are consistent with recent remarks from the RBI Governor at the October policy meeting that RBI believes the INR to be undervalued. Having raised the stakes with the FCNR scheme, this solidifies RBI's commitment to defend the INR in the near-term. We believe that is likely to suppress INR's volatility and improve its appeal as a carry FX within the region (see report Asia Strategy: Short THB, long MYR & INR basket 31 August 2026).

... creates future pent-up USD demand

FX window for oil import demand is a more effective usage of RBI's reserves, rather than broad-based market intervention. Diverting oil importer demand would be the most impactful (assuming take-up is higher than previously announced USD credit line in Apr'26) as it reduces the effective CA gap for market to less than USD 10Bn in 4Q (which will still need RBI smoothing in the market).

FX reserve requirement on forward hedging would likely shift part of the USD demand to spot, but overall measures may still reduce spot USDINR demand, while raising fair value of forwards curve (by around 1.5% on implied yield). That supports paid bias on forward points with risk of tighter liquidity conditions adding to this pressure.

However, these steps would still weigh on the RBI's net FX reserves which would need to be re-built in the future. Thus, it does little more than provide a near-term respite for INR while increasing the medium-term challenges for the RBI, in our view. Similarly, discouraging importers' forward hedging would create pent-up demand for hedging as and when these measures are reversed.

... shifting risk premium to rates curve

With these actions, RBI has also widened the toolkit for INR defense to include liquidity measures and shown its hand on concerns about depleting FX reserves too quickly. That is likely to raise the risk premium in rates curve as persistent FX pressures in the face of limited FX reserves would mean higher reliance on monetary policy over time. With domestic pressures (strong growth, higher inflation) well-aligned towards need for tighter monetary policy, these measures raise the risks of RBI undertaking more aggressive hiking cycle to lean on rate-differentials to support INR.

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MAS Review: A surprise dovish plot

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The following piece is an abridged version of Singapore Watch: MAS Review: A surprise dovish pivot 14 October 2026

MAS surprisingly pauses, with overall tone dovish

MAS surprisingly left policy settings unchanged, defying expectations from 17 out of 20 analysts surveyed by Bloomberg (ourselves included). The policy tone was notably dovish. MAS appeared increasingly attentive to downside risks to the medium-term growth outlook (higher-than-expected increase in interest rates or sharper pullback in AI-related investments), while affirming its conviction that core inflation will ease discernibly from mid-2027. We also sense a degree of reluctance to tighten further, with MAS probably viewing the prevailing policy stance as already mildly restrictive. **Even so, we retain our call for a calibrated tightening in Jan 2027**. In our view, persistent pipeline cost pressures and potentially sharp rebound in electricity & gas tariffs from Jan 2027 may still prompt a reassessment of the projected core inflation trajectory.

Despite possibly above-trend growth through 2027….

GDP growth in 3Q26 came in "strong" at 1.1% q/q SA (+5.4% y/y). Our scenario analysis shows that if GDP growth in 4Q26-4Q27 averages >0.5% q/q SA in each quarter, full year 2026 GDP would exceed 5.5% (i.e. surpassing the official forecast range), while 2027 GDP would remain above 3%. Such an outcome would also be broadly consistent with MAS's expectations that the output gap would remain positive through 2027.

…broader inflationary pressures probably seen contained

MAS expects core inflation to remain at currently slightly elevated levels (i.e. 2.2-2.3%) in the immediate quarters ahead, before easing discernibly from mid-2027. This suggests a degree of comfort that stronger growth outcomes under the baseline assumptions may not necessarily translate into broader inflationary pressures. Our scenario analysis shows that if core inflation averages 2.2-2.3% in 4Q26-1Q27, moderates to around 2% in 1Q27 and eases further to 1.5% in 1H27, core inflation would average 1.7-1.8% in 2026 and 2027, broadly in line with historical norms.

We see upside risks to MAS' inflation forecasts

We forecast Brent prices at $100/bbl in 4Q26 and falling to $77/bbl by 3Q27. We presently see core inflation around 2.2% in 4Q26, 2.5% in 1H27 and 1.8% in 2H27, and thus averaging 1.8% in 2026 and 2.1% in 2027 (see Inflation tail continues to lengthen 01 October 2026). As such, we see upside risks to MAS' assumptions, and thus we retain our call for a calibrated tightening in Jan 2027.

Strategy: Front-end receivers still appealing

The dovish policy surprise should keep short SGD NEER carry intact at around 40bps annualized. While not too attractive by itself, low volatility of SGD NEER, downside skew due to proximity to top of the band & negative correlation to USD could keep interest in short SGD NEER alive. Front-end rates dislocation appears even more striking with the dovish policy surprise as MAS sounds less concerned on domestic price pressures. That would reduce chances of MAS utilizing the rates channel to tighten financial conditions anytime soon. SORA fixing may remain steady around current 1.2-1.4% ranges, which makes front-end receivers appealing on outright basis or as spread vs US rates.

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Singapore – Add SORA receiver on slight dovish tilt in policy

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The following piece is an abridged version of EM Alpha: Singapore – Add SORA receiver on slight dovish tilt in policy 14 October 2026

Add SGD SORA front-end receiver

We recommend adding SGD SORA swaps 1y receiver (current 1.71%, target 1.5%, stop 1.9%, carry/roll 4bps/m) as MAS policy meeting indicates slight dovish policy bias in the near-term and less concern on domestic price pressures. That would keep policy tightening confined to FX appreciation and reduce the need for MAS to utilize rates channel to tighten financial conditions. With front-end SORA rates already pricing tightening in sympathy with global rates (transmission to SORA via basket yield), we believe SORA rates offer a carry opportunity and may outperform further uptick in global core rates.

Risk to the trade arise from broadening of imported price pressures, materializing upside risks to core inflation in Singapore which could raise chances of MAS tightening rates further. Higher global rates could be another risk which may pull SORA curve higher.

Expect fixing range around 1.2-1.4%

Despite tightening FX policy earlier this year by 75bps cumulatively so far, MAS has broadly kept rates in a steady range around 1.1-1.3%. Fluctuations in rates have been rather driven by higher global volatility (lower SORA fixings during Mar-Jun) or liquidity needs from recent outflows (or higher SORA around month or quarter-end).

While rates have remained steady, FX policy tightening has largely closed the interest-rate parity gap between NEER basket implied rates and SGD FX implied or SORA rates. That's also reflected in reduced negative carry on SNEER at around 35bps annualized now (3.23% basket yield – 1.63% SGD 3m implied yield – 1.25% BofA estimated slope). Scope for further tightening of policy in early 2027 would mean that this gap can be further closed without a need for SGD rates to move higher.

Key risk to SGD rates then arises from higher global core rates which raise the basket yield and widen the gap vs SORA. With Singapore's policy framework likely to share such risks between FX and rates tightening, SORA rates spread vs US rates may widen further to accommodate higher core rates. Paying SOFR rates against SORA receiver (on beta-adjusted basis with roughly 0.5x DV01) could be a potential hedge for that scenario but would give-up part of the carry on SORA leg.

Short SNEER still appealing for carry and USD-beta

MAS' decision to keep FX slope unchanged today keeps short SGD NEER carry intact at small-negative levels. While carry itself is not too attractive, low volatility of SGD NEER, downside skew due to proximity to top of the band (around 1.65% on BofA SGD NEER), and negative correlation to USD could keep interest in short SGD NEER alive. We believe low rates in SGD and negative correlation to USD would also keep it as an attractive funder to reduce USD-beta against any carry positions elsewhere.

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Higher US rates: AI is buying LatAm time

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The following piece is an abridged version LatAm Macro Viewpoint: Higher US rates: AI is buying LatAm time 08 October 2026

Real rates are rising and are likely to stay high

The US 10y is up more than 100bp this year to close to 5.3%, a 20-year high, and the Fed is hiking. Long-term rates have also risen across other DMs. Almost all of the move is in real rates, reflecting AI-led investment demand and fiscal risk premia (see The Global Thinker). We think real rates are more likely to keep rising than to fall. Higher absolute yields and rising local rates are tightening financial conditions across LatAm.

Spreads have held up, but the support is mostly cyclical

LatAm 10y spreads have broadly compressed YTD, despite higher absolute yields and rising local rates. The resilience reflects mostly cyclical factors: commodity windfalls, more market-friendly governments, carry and a benign global backdrop (contained dollar strength, high equity prices). Better credit quality has also helped. Over time, however, higher rates could hurt growth and erode fiscal positions, causing some of today's support for spreads to fade.

Commodities have cushioned the impact, so far

The commodity windfall partly reflects the same AI-driven investment boom in the US and China that is pushing real rates higher. For exporters, led by Peru, the terms-of-trade gain appears to have outweighed tighter financial conditions so far. Mexico's gain is modest and is not feeding through to fiscal revenues. The key risk is that commodity prices reverse while DM rates continue to rise.

Who is most vulnerable if higher rates feed into spreads?

If global rates keep rising, our new vulnerability scorecard points to El Salvador, Brazil and Colombia as the most vulnerable, and we think their spreads would widen first. In Mexico, higher rates add to the risk of losing IG. Argentina and Venezuela face large financing needs. Peru, Ecuador and Chile appear the least vulnerable.

Policy: fiscal tightening, monetary cushion

If financial conditions keep tightening, none of the LatAm economies we cover appears to have room for countercyclical fiscal policy. More vulnerable countries would likely need to consolidate instead. Less vulnerable ones may cushion the impact by allowing their policy-rate gap with the Fed to narrow, albeit at the cost of weaker currencies.

Strategy: selective in EXD, thinner cushion in locals

Higher global yields make us more selective on high yielders in EXD. We remain cautious on Ecuador, are Overweight Colombia (expected fiscal consolidation and multilateral support), and are Underweight Mexico, where more is needed to dispel IG risks. In local markets, bonds have outperformed USTs, which leaves a thinner cushion against further rate increases. Our trades are long NTNF 2037 in Brazil and 2y TIIE receivers in Mexico.

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Quant & Vol Insights

US-hours selling stalls the USD rally

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- USD momentum is fading; our quant signals point to consolidation
- USD selling in US hours suggests domestic investors are fading the rally
- EURAUD downside screens attractive across carry, trend, CARS and fundamentals

FX Signal of the Week: Bearish EURAUD

Exhibit 13: Quant signals suggest the USD is getting more range bound
Top signals from quant models

Section	Insight	Rationale
Option Flow	Range bound USD	Option flow and skew moved against each other last week
3-Factor	Carry	Carry is once again the performing FX factor
Technical Matrix	Bullish USD	Trend signals remain bullish USD, but with reduced conviction
CARS	Equity factor	Bearish JPY & EUR, bullish CHF & NZD on equity factor
Time Zone	US selling USD	American investors consistently supplied USD last week
EM FX	Bearish ZAR	Trend-positioning and ADX signals suggest downside

Source: BofA Global Research

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USD finding new ranges

After a month of DXY trending higher, our quant signals suggest the USD may be settling into a new range. Option flow and skew diverged last week, suggesting less conviction in chasing the USD rally, while vol repriced lower as the currency failed to break key levels. With carry once again the top-performing FX factor and EURUSD losing its bearish trend-positioning signal, our base case is for the USD to consolidate around current levels.

Our time-zone analysis provides one potential explanation for the stalled rally. The USD was consistently supplied against all G10 currencies during US trading hours last week, suggesting US investors may be fading further USD strength.

Bearish EURAUD

While the USD settles into a new range, opportunities remain on the crosses, with EURAUD downside screening particularly attractive. The cross should benefit from carry's renewed outperformance, with AUD the top carry currency in G10 and EUR among the more attractive funders. Our Technical Matrix supports the downtrend, and the recent improvement in trend performance is an additional tailwind. Our CARS framework also favours EUR downside following last week's European equity underperformance. The descending triangle pattern breakdown leans bearish, though nearby support is a headwind.

Fundamentals also support the trade. Australia's data-centre investment boom should support AUD going forward (see report, FX and Rates Viewpoint, 12 Oct '26), while the recent OAT sell-off remains a near-term headwind for EUR.

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Technical Strategy

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- EURUSD: Multiple time frame charts remain bearish w/bias to fade oversold rallies. Prefer short into October 28 FOMC / October 29 ECB.
- Euro's big picture: A head-and-shoulders top pattern within a long-term range imply downside to 1.0882 / 1.06s by YE26-1Q27.

For more on euro and eight EUR crosses, please see the FX Technical Advantage: EURoding lower October 16th 2026

EURUSD Long-Term: Narrowing range shows support in the 1.06s

EURUSD's post-Fed breakdown confirmed a head-and-shoulders top. As spot continues to decline, RSI broke down and MACD has crossed bearish. 2026 marks the third lower high since 2018 with two higher lows in 2022 and 2024. These converging lines present a narrowing range, like a triangle, with spot declining toward trend line support. At YE26, this line is in the 1.06s.

Chart 1: EUR$ top, decline underway to 50m SMA at 1.1029, Fibonacci retracement at 1.0882, trend line in the 1.06s. Bearish if below 1.1654 / 1.1711.
EURUSD monthly candles, 50m SMA, 200m SMA, RSI, MACD, Fibonacci levels



Source: BofA Global Research, Bloomberg (G USD 15)

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Trade Recommendations G10

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Exhibit 14: Open trades G10
Current G10 FX trade recommendations. Prices as of 15-Oct-2026

Trade Description	Open Date	Entry Price	Expiry Date	Current Price	Rationale	Risks
Fade EUR/CHF skew through 3M risk reversal (strikes: 0.9420/0.9057)	6-Oct-2026	Zero-cost (spot ref: 0.9323; vol ref: 5.15/5.92)	6-Jan-2027	-0.07%	Skew repriced to aggressively following the OAT sell off, CHF historically stall after initial repricing, SNB remain in favour of CHF depreciation	Another multi sigma widening in the OAT-Bund spread
Buy AUD/ZAR	22-Sep-2026	11.57 (target: 12.15, stop: 11.22)		11.47	Weaker ZAR because of higher oil & potentially lower gold, less hikes than priced in; higher US rates. Monetary policy and higher commodity prices should be supportive for the AUD.	Lower oil, a hawkish SARB, or a dovish RBA
Sell USD/JPY	2-Sep-2026	159.7 (target: 149, stop: 164)		157.80	Improving yen fundamentals and faster BoJ rate hikes should weaken the case for yen selling	Sustained strength in oil prices
Sell CHF/JPY	9-Jun-2026	201.15 (Updated target: 180.5, updated stop: 198)		190.25	1) Asymmetric risk reward around BoJ's June MPM; 2) SNB's vigilance on CHF appreciation.3) Improving structural demand/supply balance in JPY; 4) carry and valuation.	A continuation of BoJ dovishness
NDX Dec26 110% call contingent on EURUSD < 100.75%	22-Jun-2026	1.544% (refs 30700f/1.145)	18-Dec-2026	-	Under reflationary scenarios, which we see as increasing in likelihood the dynamic of risky assets may stay supported even as the Fed hikes in 2H and the dollar stays supported.	The most adverse scenarios for the position are a materially hawkish shift in the ECB, or dovish shift for the Fed reversing the tone from the June meeting.
Buy 6m GBPUSD strangle (1.3495/1.2818) vs selling 2m ATMF GBPUSD straddle	24-Jun-2026	Zero-cost (spot ref 1.3154, vol refs 7.1/8.0 vs 6.5)	23-Dec-2026	-2.80%	Vol likely to compress over the summer but then rise again around 12 weeks ahead of US midterms. GBP vol tend to outperform in US midterm periods	A sharp rise in volatility ahead of the straddle's expiry

Source: BofA Global Research. See reports for each trade under trade description

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Exhibit 15: G10 FX Closed trades

Recently closed trades in G10 FX.

Trade Description	Entry date	Entry Level	Target	Stop	Close date	Level closed
AUD/SGD	2-Sep-2026	0.9085	0.93	0.8950	12-Oct-26	0.8950
Buy NZD/USD	21-Aug-2026	0.5957	0.62	0.58	11-Sep-26	0.58
Sell NOK/SEK	20-Aug-2026	1.0124	0.9812	1.0267	2-Sep-26	1.0267
Buy 3m AUD/NZD 1x1.5 put spread (strikes 1.1960 & 1.1850)	29-July-2026	0.1056% (spot ref. 1.2000)			26-Aug-26	0.21% (spot ref: 1.2065)
Sell CADJPY	21-Jul-2026	115.65	110	115	18-Aug-26	115
Buy 3m EUR/USD put spread (1.15/1.13)	20-May-26	0.3591%	-	-	29-Jul-26	0.5714%
Buy AUD/CHF 3m 0.5800 digi call	16-Jun-26	8% (spot ref. 0.5605)	-	-	24-Jul-26	12.5% (spot ref. 0.57)
Buy SPX > 109% / USD/JPY > 100% dual digitals	8-May-26	10%	-	-	2-Jul-26	11.1%
Sell EUR/GBP via 3m risk reversal (strikes 0.8735/0.8653)	20-May-26	0% (spot ref 0.8650, vol refs 4.8%/4.6%)			1-Jul-26	0.6% (spot ref: 0.8600)
Sell EUR/SEK via 3m risk reversal (strikes 10.60/11.0655)	7-May-26	0% (spot ref: 10.8224, vol refs 5.8%/6.3%)			23-Jun-26	-0.72% (spot ref: 11.05)
Buy USD/CAD via 3m 1.41 call	30-Mar-26	0.47% (spot ref 1.3920, vol ref 5.61)			19-Jun-26	0.48% (spot ref: 1.4160)
Buy 3m EUR/NOK call spread (strikes 11.45/11.65)	5-Mar-26	0.4345%	-	-	5-Jun-26	Expired OTM (spot ref: 10.8829)
Sell GBP/USD	23-Mar-26	1.3420	1.3000	1.3850	14-May-26	1.3397
Buy AUD/NZD	26-Mar-26	1.1960	1.25	1.17	28-Apr-26	1.2177
Buy 3m EUR/USD 1.22/1.2350 call spread RKI 1.2550 (barrier on 1.2350 leg)	28-Jan-26	0.35% (spot ref: 1.2000)			28-Apr-26	Expired OTM (spot ref: 1.1712)
Buy 3m NZD/USD put spread	16-Jan-26	0.3349% (spot ref: 0.5744)			16-Apr-26	Expired OTM (spot ref: 0.5890)
Buy 3m EUR/CHF risk reversal	5-Mar-26	Zero-cost (spot ref 0.9060, strikes 0.9155 / 0.8831, vol 5.27 / 6.0)			31-Mar-26	1.175% EUR (spot ref 0.9250)
Buy NOK/SEK	16-Dec-25	0.9133	0.93	0.9030	5-Feb-26	0.93
Buy 6m 1.23-strike EURUSD digi call	21-Nov-25	10.6% (spot ref 1.1530, vol ref 6.3)			28-Jan-26	34.8% (spot ref: 1.2025, vol ref 8.2%)
Buy 3m AUD/USD 0.61 one-touch	21-Nov-25	22.5% (spot ref: 0.6450)			16-Jan-26	3.5% (spot ref: 0.6684)
Buy 3m USD/JPY 1x2x1 call fly (157/161/165)	21-Nov-25	0.40%			12-Jan-26	0.67% (spot ref: 158.15)
Sell 1y EUR/GBP risk reversal	21-Nov-25	Zero-cost (spot ref 0.8825, strikes 0.8670 / 0.95, vol 5.3 / 6.65)			8-Jan-26	0.8% EUR (spot ref 0.8680)
Buy 3m USD/CAD put, 1.36 strike	6-Oct-25	0.22% USD (spot ref 1.3962, vol ref 4.74)			6-Jan-26	Expired OTM (spot ref 1.3794)
Buy 6m EUR/GBP put spread	1-Jul-25	0.52% EUR (spot ref 0.8575, strikes 0.8530/0.8350)			31-Dec-25	Option expired OTM (spot ref 0.8717)
Buy 1y EUR/JPY call	25-Mar-25	1.41% EUR (172-strike, spot ref 162.70)			21-Dec-25	6.6% EUR (spot ref 184.60)
Buy 3m EURSEK put spread	8-Sep-25	0.32% EUR (strikes 10.90/10.80, spot ref10.9750)			4-Dec-25	Expired OTM (spot ref 10.94)
Sell GBP/AUD	2-Oct-25	2.0380	1.9720	2.06	13-Oct-25	2.06
Buy 3m USD/JPY call spread	14-Jul-25	0.6426% USD (strikes 150/155, forwards ref 145.86, vol refs 9.94 and 9.75)			8-Oct-25	1.6% (spot ref 152.54)
Buy EUR/USD	12-Aug-25	1.1612	1.20	1.1392	7-Oct-25	1.1675
Buy CHF/JPY	8-Sep-25	184.30	189.00	182.00	7-Oct-25	189.00
Buy AUD/USD	10-Jul-25	0.6546	0.69	0.6570	12-Sep-25	0.6659 (raise stop to 0.6570)
Buy 6m EUR/CHF ratio call spread	5-Mar-25	0.53% EUR (spot ref 0.9550, buy 1 unit 0.9450 strike call, short 2 units of 0.97 strike call			4-Sep-25	Option expired OTM (spot ref 0.9380)
Buy 1y USD/CAD RKO put	13-May-25	0.33% USD (1.36-strike with 1.30 RKO barrier, spot ref 1.3997, vol ref 5.915)			24-Jul-25	0.4228% USD (spot ref 1.36)
Buy USDJPY	19-Jun-25	145.25	152	142	14-Jul-25	147.37
Buy EUR/USD	22-Apr-25	raised stop to 1.12 , spot ref 1.1503 target 1.19	1.19	1.12	19-Jun-25	1.1466
Buy AUD/JPY	28-May-25	92.80	100	89.50	19-Jun-25	94.18
Buy 3m AUD/NZD call seagull	17-Apr-25	Receive 0.3% AUD,			9-May-25	0.7045% AUD (spot ref 1.0863)
Short CAD/MXN	11-Mar-25	6m fwd 14.5166 (spot ref 14.0467)	13.00	14.50	13-May-25	6m fwd 14.1360

Source: BofA Global Research

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Exhibit 16: EM Alpha Trade Recommendations
Open trades

FX	Entry date	Entry	Current	Target	Stop	Notional	Rationale/ Time horizon	Risks
Short CNH, Long TWD	2-Oct-26	4.81	4.76	4.66	4.86	-	The trade pairs Taiwan's tech outperformance with China's domestic demand underperformance. Long TWD benefits from AI-related export strength, while short CNH reduces exposure to broad USD moves at a lower cost than a short USD position. With the Trump-Xi summit delivering less progress than expected on removing trade restrictions, we may see less CNH cosmetic appreciation	The risk to the trade could come from accelerated year-end CNH appreciation due to seasonal selling by China's exporters. For this reason, we focus on the 2M tenor, as exporter selling and hedging may intensify into December. A sharp AI downturn, though less likely, would also weaken the export outlook and TWD's strength relative to CNH.
Long AUDZAR	22-Sep-26	11.57	11.56	12.15	11.22	10	The AUD leg improves carry & reduces the beta to global factors. Also, we expect a weaker ZAR because of higher oil & potentially lower gold, less hikes than priced in and higher US rates.Moreover, monetary policy and rising prices for some commodities should be supportive for the AUD.	Lower oil, a more hawkish SARB and a more dovish RBA
Short THB vs long INR & MYR (equal weighted basket)	31-Aug-26	100 (indexed)	100.00	103.00	98.00	10	a) Favorable carry-to-volatility dynamics in INR (high carry/low volatility) vs THB (low carry/high volatility), b) divergence in CB reaction function (BoT exhibiting more dovish policy bias with more tolerance to inflation spike and less resistance to FX weakness) based on c) NEER valuation divergence (INR appears undervalued vs THB NEER has been elevated) while d) hedging out sensitivity to oil price fluctuations. We believe RBI is willing to spend incremental reserves to prevent INR weakness beyond 96/USD level.	Risk to the trade: a) USD weakness leading to unwinding of b) moderately crowded THB positions or from c) RBI rather opting to preserve reserves and tolerate INR weakness
Buy AUD/SGD	2-Sep-26	0.91	0.89	0.93	0.90	10	We are bullish AUD/USD into year-end and expect the RBA to hike rates in September, with a consecutive hike in Nov '26 (current pricing: 30bps) now a distinct possibility. Short SGD is an attractive funder because investors earn roughly 2.5% annualized carry while the currency's position near the top of the MAS policy band limits downside risk.	Risk-off/ disinflation trade (lower gold, lower risk assets)
Short USD/PEN	11-Aug-26	3.37	3.45	3.20	3.50	-	Improving terms of trade will provide a powerful tailwind to the Peruvian sol, given Peru's high exposure to copper and gold prices. Peru's growth outlook should also turn increasingly supportive for the exchange rate, with GDP growth accelerating from 3.5% in 2026 to 4.4% in 2027.	Risks are central bank intervention to cap PEN appreciation, and global risk off. Timeframe six months.

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Exhibit 16: EM Alpha Trade Recommendations
Open trades

Enter 2M 7.55 EUR/CNH digital put	17-Jul-26	7.55	7.50	-	-	10	We premise this trade on the growing divergence in export competitive and performance between China and the Euro Area. Contemporaneously, China is allowing its USD/CNY fixings to grind lower, even though the trade-weighted CFETS value of its exchange rate is close to an historical high.	The key risk to this trade is the underlying weakness in China's domestic economy despite its superlative export performance. Indeed, 2Q GDP registered a disappointing 4.3% growth rate.
Buy USDIDR 17.7k/18k 3m call spread	14-May-26	45 bps	17898.00	171 bps	0 bps	10	Flows are likely to remain negative in the near-term with upcoming MSCI rebalancing and ongoing DNDF maturities. Any possible tightening by Bank Indonesia would have a positive signaling effect on IDR in the near-term.	Risks to the trade arise from aggressive tightening or intervention from Bank Indonesia or implementation of capital flow measures
Enter 3M dual digital (Aug 7) USD/INR > 97 and USD/KRW < 1430 for 9.5% USD	7-May-26	>97, <1,430	96.8; 1,342	-	-	10	AI led capex investment boom are increasingly evident in NE Asia, supporting Korea and Taiwan growth. This is shaping interest rate expectations and relative performance in Asia FX, specifically INR/KRW.	Equity flows more favorable to INR and against KRW.
Long USD/ZAR	27-Mar-26	17.15	16.63	18.00	16.00	10	Global outlook for EM asset to deteriorate from here. The ZAR is too strong if global growth slides. The ZAR is the best short in EEMEA, better than the HUF, as the ToT shock for SA is likely to be stronger than for Hungary.	The risks are a quick resolution of the war and lower-than-expected energy prices, as well as higher-than-expected gold prices.
3M USD/CNH vanilla put with American Knock In at 6.91	2-Mar-26	6.89	6.70	6.70	-	10	CNY outlook is complex as PBoC tempers appreciation and Middle East conflict lift near-term USD/CNH upside risks.	Knock-in not triggered resulting in unhedged CNH appreciation exposure to USD/CNH 6.70 and below
Long INR vs SGD	3-Feb-26	71.32	75.49	70.00	72.50	10	Consensus bearish INR positions and repeated disappointments earlier on trade deal lowered the bar for a positive surprise leading to bearish sentiment and potentially under hedging by exporters even as CA flows improve this quarter.	Dovish RBI policy bias or continued equity outflows.
Buy 2M USD/KRW 1370 digital vs. Sell 2M USD/THB 31.90 Digital	28-Jan-26	1,370; 31.9	1,342; 33.7	-	-	10	KRW supported by AI-led export cycle, policy bias, and NPS/RIA-related inflows should mean KRW outperformance and higher vol.	Risk to the trade is a capital loss of 100% of notional at an expiry of above USD/THB 31.90 from selling a 2M USD /THB 31.90 digital
USDINR put spread	20-Jan-26	91.36	96.79	0.02	0.00	10	Add USDINR put spread on improvement in CA flows this quarter while RBI smoothing would likely cap topside risk.	Risk to the trade arises from persistent equity outflows over the next few months.
Long USDIDR topside	20-Jan-26	16970.00	17898.00	17400.00	-	10	Add USDIDR topside option as market builds further risk-premium for expansionary fiscal and monetary policies.	Risk to the trade arise from stronger intervention around 17,000/USD.

Source: BofA Global Research. Spot values as of October 8, 2026. Bid/offer spreads accounted for in initiation and closing levels. Does not reflect tax withholdings or any investment advisory fees. Past performance is no guarantee of future results. A complete performance record is available on request. Inception date – July 4, 2016. Initiation and closing prices are priced as of trade publication

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Exhibit 17: Closed trades
List of closed trades over the past 12 months

Trade	Open Date	Open Price	Target	Stop	Notional	Closing Date	Close Price
Sell EUR/BRL	23-Apr-26	5.80	5.50	6.10	10	6-Oct-26	5.6
Long USD/ZAR	27-Mar-26	17.15	18.00	16.00	10	1-Oct-26	16.4
Long USDHUF & USDILS in equal weights	24-Jun-26	USDHUF: 314.92, USDILS: 2.99	USDHUF: 330.67, USDILS: 3.14	USDHUF: 305.47, USDILS: 2.90	10	17-Sep-26	USDHUF: 317.64, USDILS: 3.035
Short USDTRY in 2m forward	26-May-26	48.80	Hold the forward until maturity	-	-	3-Aug-26	Held the forward until maturity
Long PEN vs. CLP & MXN basket	5-May-26	100.00	104.47	98.00	10	8-Jul-26	105.0
Short THB vs long KRW	4-May-26	45.26	43.50	46.50	10	29-Jun-26	46.1
EURCZK: buy ATM straddle	12-Mar-26	EURCZK: 24.412, cost of straddle: 1.3666%	-	-	10	12-Jun-26	24.1
Receive INR NDOIS 1y spot	22-May-26	0.06	0.06	0.07	10	5-Jun-26	0.1
Long SGD NEER (ex-MYR)	30-Apr-26	1.37% above mid	0.02	0.01	10	29-May-26	0.0
Short 1y1y CLP/UF inflation breakeven	22-Apr-26	3.60	3.10	4.00	10	27-May-26	3.1
Long CLP/COP	5-Mar-26	4.13	4.60	4.00	10	20-May-26	4.2
Long USD/MXN	10-Jul-25	18.62	20.00	18.00	10	30-Apr-26	17.5
Short USDNGN using OMO bills	12-Feb-26	OMO: 95.3; USDNGN: 1,354.7	4.5% total return	-2.5% total return	10	30-Apr-26	OMO: 99.5; USDNGN: 1,375
Long BRL/MXN	19-Aug-25	3.45	3.80	3.20	10	23-Apr-26	3.5
Short USDTRY using 3m forward	20-Jan-26	46.20	43.90	47.60	10	22-Apr-26	44.9
Long BRL/COP	7-Oct-25	724.00	775.00	675.00	10	12-Mar-26	710.0
Long USDPHP NDF	6-Jan-25	59.14	60.50	58.00	10	12-Mar-26	59.7
Long USD/ZAR	23-Jan-26	16.13	16.78	16.23	10	8-Mar-26	16.8
Short SGD NEER for carry and hedge vs short USD	29-Jan-26	1.68	1.30	2.00	10	4-Mar-26	1.5
Buy inflation-linked BONCER 12/15/2027	22-Jan-26	212.00	0.10	-0.05	10	23-Feb-26	0.1
Sell JPY/KRW	29-Jan-26	9.35	9.00	9.55	10	20-Feb-26	9.3
Buy USDKRW put spread 1425/1400 strikes	21-Nov-25	34.4 bps	34.4 bps	1400 lower strike	10	26-Jan-26	1430.0
short USDKZT via 6m NDF	15-Dec-25	553.43	525.75	570.00	10	-	525.8
Argentina: Buy BONTE 2030, FX-unhedged	9-Dec-25	109.00	0.10	-0.05	10	22-Jan-26	115.0
Receive USDTWD 2x5 NDF	4-Aug-25	-398pips	-525pips	-335pips	10	--	--
Long EGP 3m T-bill FX-unhedged	2-Dec-25	USDEGP: 47.52; T-bill price: 93.87	Total return 4.5%	Total return - 2.5%	10	12-Jan-26	47..2
Buy 21-Apr-26 OMO bill in Nigeria FX-unhedged	22-Oct-25	yield 18.45%; USDNGN: 1470	--	--	10	9-Jan-26	1424.8
6m USD/CNH 6.85 digital put (spot ref 7.1150)	21-Nov-25	10.5% of notional	--	--	10	8-Jan-26	39.6
Long ZAR/MXN	5-Nov-25	1.07	1.12	1.04	10	7-Jan-26	1.1
Short USD/THB	12-Nov-25	32.85	31.50	33.00	10	2-Dec-25	31.7
Argentina: Buy Boncer 2027	5-Sep-25	0.00	10.00	-5.00	10	9-Dec-25	10.0
Indonesia – Pay IDR points	25-Mar-25	59.50	85.00	40.00	10	23-Nov-25	1060.0
Buy USDHKD 12-month outright	26-Nov-24	7.75	7.78	7.72	10	23-Nov-25	7.8
Buy 6M USD/SGD 1.45 instant one-touch	22-Nov-24	0.12	0.50	0.00	10	23-Nov-25	1060.0
Short CNH, long basket	17-Nov-23	98.07	94.00	102.00	10	23-Nov-25	98.0
Sell EUR/CLP	18-Aug-25	1129.00	1060.00	1160.00	10	17-Nov-25	1060.0
Long LECAP 11/10/2025	23-Apr-25	34.50	-	-	10	10-Nov-25	23.7
Short USDKZT 6m NDF	19-Aug-25	570.00	541.00	587.10	10	4-Nov-25	541.0
Short SGD NEER	11-Apr-25	0.01	0.00	0.01	10	3-Nov-25	0.0
Long USD/PEN	31-Jul-25	3.58	3.68	3.41	10	22-Oct-25	3.4

Source: BofA Global Research. Bid/offer spreads accounted for in entry and closing levels. Does not reflect tax, withholdings or any investment advisory fees. Past performance is no guarantee of future results. A complete performance record is available on request. Inception date – July 4, 2016. For additional discussion on baseline views, valuation and risks to closed trades, please see the relevant reports. Trade recommendations are highlighted green when the closing value is greater than the entry value and red when the closing value is less than or equal to the entry value.

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World At A Glance Projections

Exhibit 18: G10 FX forecasts
Forecasts as of 15-Oct-2026

	Spot	YE 2026	Mar-27	Jun-27	Sep-27	YE 2027	YE 2028
G3							
EUR-USD	1.12	1.15	1.17	1.19	1.20	1.20	1.22
USD-JPY	158	149	149	148	146	145	145
EUR-JPY	177	171	174	176	175	174	177
Dollar Bloc							
USD-CAD	1.42	1.40	1.40	1.40	1.38	1.38	1.36
AUD-USD	0.69	0.74	0.73	0.73	0.73	0.72	0.72
NZD-USD	0.56	0.61	0.60	0.60	0.60	0.60	0.60
Europe							
EUR-GBP	0.85	0.84	0.84	0.84	0.83	0.83	0.83
GBP-USD	1.32	1.37	1.39	1.42	1.45	1.45	1.47
EUR-CHF	0.93	0.93	0.94	0.94	0.95	0.95	0.95
USD-CHF	0.83	0.81	0.80	0.79	0.79	0.79	0.78
EUR-SEK	11.18	11.00	10.80	10.60	10.50	10.50	10.50
USD-SEK	9.97	9.57	9.23	8.91	8.75	8.75	8.61
EUR-NOK	10.65	11.00	11.10	11.10	11.10	11.10	11.10
USD-NOK	9.51	9.57	9.49	9.33	9.25	9.25	9.10

Source: BofA Global Research, Bloomberg. Note: Forecasts as of 15 Oct 2026

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Exhibit 19: EM FX forecasts
Forecasts as of 15-Oct-2026

	Spot	YE 2026	Mar-27	Jun-27	Sep-27	YE 2027	YE 2028
Latin America							
USD-BRL	5.06	5.00	5.00	5.00	5.00	5.00	5.00
USD-MXN	18.53	17.50	17.75	18.00	18.25	18.50	19.00
USD-CLP	985	940	930	920	910	900	860
USD-COP	3,183	3,150	3,200	3,250	3,300	3,350	3,700
USD-ARS	1,513	1,600	1,700	1,800	1,900	1,900	2,100
USD-PEN	3.44	3.30	3.28	3.25	3.23	3.20	3.15
Emerging Europe							
EUR-PLN	4.37	4.37	4.32	4.28	4.23	4.20	4.10
EUR-HUF	364	365	357	350	347	345	340
EUR-CZK	24.35	24.50	24.10	23.80	23.50	23.30	23.00
USD-ZAR	16.56	16.40	16.30	16.00	15.80	15.60	15.30
USD-TRY	49.42	51.70	53.80	55.90	57.90	60.00	73.20
EUR-RON	5.33	5.25	5.29	5.33	5.36	5.40	5.52
USD-ILS	3.10	3.07	3.03	3.00	2.95	2.93	2.90
Asian Bloc							
USD-KRW	1,346	1,410	1,400	1,400	1,380	1,380	1,380
USD-TWD	32.32	31.70	31.60	31.50	31.30	31.10	31.10
USD-SGD	1.28	1.30	1.29	1.29	1.28	1.28	1.28
USD-THB	33.50	33.00	32.50	32.50	32.50	32.00	32.00
USD-HKD	7.85	7.85	7.83	7.82	7.80	7.80	7.80
USD-CNY	6.69	6.60	6.60	6.50	6.50	6.50	6.50
USD-IDR	17,938	18,000	18,100	18,200	18,200	18,200	18,200
USD-PHP	63.06	63.00	64.00	65.00	65.00	65.00	65.00
USD-MYR	4.08	4.10	4.05	4.05	4.05	4.05	4.05
USD-INR	95.06	98.00	98.50	99.00	99.00	99.00	99.00

Source: BofA Global Research, Bloomberg. Note: Forecasts as of 15 Oct 2026

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